Themes and Trade Ideas

Fixed Income

March 19, 2026

itaú BBA

Quick Take on Minerva's 4Q25 Results

Minerva
Moody's: N.R.
S&P: BB (Stable)
Fitch: BB (Stable)

In this note we provide a brief overview of Minerva's 4Q25 credit metrics, operational performance and our bond view for the company.

- **The results.** 4Q25 marked the first full quarter following the conclusion of the integration process of the assets acquired in 2024, with the initial capture of operating synergies. The ongoing contraction of the U.S. cattle herd continued to constrain domestic supply in the United States, sustaining a favorable backdrop for South American exporters. Within this context, Minerva reported net revenue growth of 32.6% YoY, driven primarily by higher operating volumes, with total slaughter increasing by 24.5% YoY and sales volumes up 21.5% YoY. Total EBITDA reached BRL 1,172 million, reflecting a 24.1% YoY increase, broadly following the expansion in operating scale. However, EBITDA margin declined to 8.2%, down 0.6 p.p. YoY, mainly reflecting the higher cost of cattle, particularly outside Brazil, partially offset by operating leverage and early synergy gains from the newly integrated assets.
- Net debt stood at BRL 12.8 billion, compared to BRL 15.6 billion in 4Q24 and BRL 11.8 billion in 3Q25. On a QoQ basis, the increase in net debt was mainly driven by free cash flow consumption of R$ 408 million, alongside the effect of FX variation on gross debt and dividend payments during the period. Net leverage ended the quarter at 2.6x, down from 3.7x in 4Q24 and broadly stable QoQ, reflecting stronger EBITDA.
- **Bond view.** BEEFBZ '31 currently trades at 6.1% (YTW) with a z-spread of ~257 bps, having widened roughly 20 bps YTD, reversing the gains since the release of strong 3Q25 results in November. The slight underperformance, similar to that of MRFGBZ '31 and BRFSBZ '30, seems to have been driven by investors' risk aversion so far in 2026, with a preference for sectors and companies that are less exposed to volatility. In the case of Minerva, uncertainties regarding Brazilian beef exports to China, as well as the impacts of a potential cattle cycle inflection on Minerva's margins could have contributed to the underperformance.
- For more details on credit metrics and operational performance, see the analysis below.

Credit Metrics

BRL mm	4Q24	1Q25	2Q25	3Q25	4Q25	YoY	QoQ
Net Revenues	10,714	11,196	13,918	15,512	14,204	32.6%	-8.4%
Adjusted EBITDA	944	963	1,303	1,388	1,172	24.1%	-15.6%
EBITDA Margin	8.8%	8.6%	9.4%	8.9%	8.2%	-0.6 p.p.	-0.7 p.p.
Free Cash Flow	990	-514	-26	2,462	-408	-141.2%	-116.6%
Gross Debt	30,082	27,459	26,713	26,691	27,787	-7.6%	4.1%
Cash and Equivalents	14,461	11,874	12,548	14,893	15,031	3.9%	0.9%
Net Debt	15,621	15,585	14,165	11,797	12,756	-18.3%	8.1%
Net leverage (Calculated)	5.0x	4.5x	3.5x	2.6x	2.6x	-2.3x	0.1x
Net leverage (Reported - Proforma)	3.7x	3.7x	3.2x	2.5x	2.6x	-1.1x	0.1x
Cash / Short-term Debt	2.8x	3.8x	2.4x	3.3x	2.8x	0.0x	-0.4x

Source: Company, Itaú BBA.

FCF reported by the company, calculated as: i) EBITDA; ii) (+/-) capex; iii) (+/-) financial results; (iv) (+/-) working capital variation. Reported net leverage is adjusted by the pro-forma EBTIDA of the new assets.

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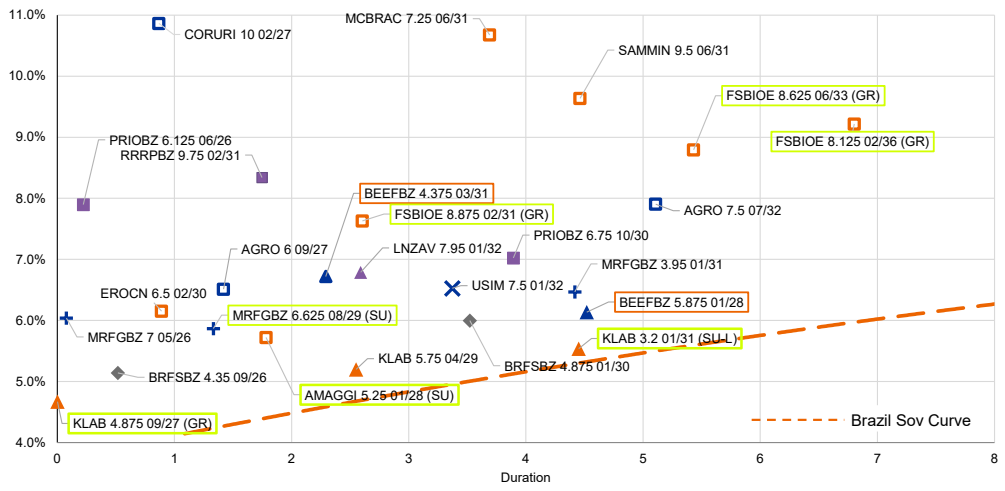
Yield (YTW, %) vs. Duration – High Yield Cyclical Brazilian Corporate Bonds



Source: Bloomberg, Itaú BBA. (*) The labels marked in green correspond to ESG bonds.

Operating Performance (From Itaú BBA's Equity Research Food & Beverage Team)

Soft. Minerva's EBITDA in 4Q25 totaled BRL 1.17 billion, which was 5% below our estimate, reflecting the earnings revision that the buyside had been anticipating over the past few months. Nonetheless, we are pleased that Minerva's yearly top line reached the midpoint of its guidance, with contributions from new assets exceeding the company's initial expectations regarding their full potential. Additionally, the company has proposed BRL 31 million in additional dividends, bringing the total to nearly BRL 200 million for FY25. Despite the negative stock performance since 3Q25, we still observe a low appetite for the stock as investors continue to evaluate: i) developments in Brazilian beef exports to China; ii) prospects for working capital needs in FY26; and iii) recurring margin levels in the upcoming quarters amid a potential cattle cycle inflection.

A lower contribution from Brazil resulted in a slight miss at the consolidated topline level. Gross revenues in Brazil were 3% below our expectations, while international operations partially offset this trend. Management also highlighted a low dependence on exports to the Middle East region, mentioning preserved routes for the main markets served by the company. At the end of FY25, Minerva achieved the midpoint of its yearly topline guidance, aided by a quicker-than-expected ramp-up of acquired assets. Following the sale of inventories in the U.S., which shifted Minerva's export mix breakdown in 3Q25, we note a similar contribution from the NAFTA region year-over-year in FY25. Looking ahead, it will be necessary to closely monitor Brazilian beef exports to China, totaling ~223 thousand tons in the first two months of 2026, or ~550 thousand tons (half of the yearly quota) when including in-transit volumes that arrived in China in FY26. We believe this is particularly important because the potential cattle cycle inflection in Brazil could imply some price pass-through challenges if materialized.

Gross margin declined by 280 bps YoY, although it improved by 70 bps sequentially. While our market tracker indicated a narrowing beef spread QoQ for Brazilian exports in 4Q25, the mix effects from the concentration of volumes sold in the U.S. will likely add a new layer of complexity to this comparison. Moving down the line, SG&A expenses as a percentage of revenues decreased by 250 bps YoY, representing higher expense dilution and efficiencies captured from the M&A. However, this YoY gain was slightly below 3Q25 levels and could trigger continued discussions regarding the recurring level for FY26. Overall, the EBITDA margin of 8.2% was below our forecast of 8.5%, explaining most of the 5% miss at the adjusted EBITDA level, totaling BRL 1.17 billion for the quarter.

Despite the declining trajectory, an ND/EBITDA of 2.6x was insufficient to support a stronger dividend distribution. From a cash flow perspective, Minerva reported a

consumption of BRL 410 million in 4Q25, resulting in a generation of BRL 1.5 billion for the year, with working capital release more than offsetting higher-than-expected cash financial results and Capex deployed. In regard to capital allocation, given the leveraged level of 2.6x ND/EBITDA achieved at the end of FY25, the company has proposed an additional BRL ~31 million in dividends, totaling BRL ~200 million from FY25 results. While this amount may fall short of investors' previous expectations, we believe that part of the market will welcome a stronger cash position, continuing to support Minerva's deleveraging path in the future, mitigating the impact of the shortfall in capital allocation.

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